
5. Go automatic and invest piecemeal

Dollar cost averaging is a great way to ignore the current volatility in the markets. Invest regularly and forget about it. It'll keep you from obsessing about your losses while allowing you to accumulate battered investments at lower prices.

6. Keep an eye on your portfolio

Diversification, asset allocation, and dollar cost averaging are techniques that allow us to be more complacent about our portfolios, but don't forget about your investments for too long! You'll need to evaluate your investments on a regular basis just to make sure you're on track toward your long-term goals.

7. Rebalance your investment over time

And once you do evaluate your portfolios, you can decide whether it's a good idea to rebalance your holdings to reflect your allocations accurately. When the market goes haywire, rebalancing to keep the asset classes in the correct proportions will allow you to automatically buy those assets that have suffered price drops,

while selling out of assets that may be relatively pricier (or that represent a higher weighting or concentration of your total assets).

8. Know when to hold and when to fold

You've got losers? Did you invest in speculative penny stocks, individual stocks, or REITs in the last few years? Maybe it's time to unload them now and take the loss. By doing so, you'll achieve two things—you can harvest your loss and make it benefit you during tax time, and you'll be able to move your position into hopefully better investments like index funds, where your funds can grow with a bit more predictability. — *The Digerati Life*

The Basics of Mutual Funds

A mutual fund is a "basket" of investments, managed by a fund manager (usually with the help of a team of analysts). This basket of investments can be made up of stocks, bonds, short-term securities, or even real estate among other vehicles.